COUNCIL 4 MARCH 2026

Report title: Revenue and Capital Budget 2026-27 and Medium-Term Financial Strategy 2026-27 to 2029-30

Wards: All

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REPORT SUMMARY

Lambeth Council is on a path to financial sustainability. We have taken a number of significant steps to improve our financial resilience against a backdrop of continued funding pressures for local authorities and the effects over a number of years of major budget pressures in demand-led services. The increase to local government funding and a return to multi-year settlements by this Government is welcomed and much needed but it will take years to make up for the real terms reduction in funding experienced for well over a decade. The national housing crisis persists, reflected in the significant pressure on the Council's resources, with spend on temporary accommodation expected to reach nearly £105m this year. This is a pressing issue across London as boroughs spend £5m a day collectively on housing homeless households.

Lambeth Council will keep making our case to Government to recognise the challenges we face as a result of national funding reforms. It will not be easy to balance the resources needed to discharge our statutory duties and target support to our vulnerable residents who rely on our services the most. But the council is committed to transforming its services and ways of working to reduce costs and improve services and outcomes for Lambeth residents.

It is a source of great pride that not only is Lambeth maintaining vital services in the face of significant demand and costs but we are also seeing significant improvement to the delivery of our services. In line with the ambitions set out in our borough plan Lambeth 2030, we will:

- continue to prioritise good quality services for residents. building on the strong improvement records that have been highlighted in inspections in recent years by Ofsted, the C2 grading by the Regulator for Social Housing and our Youth Justice Service moving from 'inadequate' in 2015 to 'Good' with outstanding features in this year's inspection by His Majesty's Inspectorate of Probation.
- continue to support residents through the cost-of-living crisis, using the council's investment and the Government's new Crisis and Resilience Fund, building on our record of support to reduce the impact of poverty in the borough, helping residents maximise their benefits and other targeted financial support and guidance.
- continue to prioritise the resources we have on making the most impact for residents and businesses in line with their priorities, continuing to invest in making our neighbourhoods cleaner

and healthier for all and maintaining high levels of support for services that support vulnerable children.

These priorities, alongside ensuring our communities feel safe from anti-social behaviour and violence, were identified by over 5,000 residents in our recent budget engagement survey, the largest conducted in the borough's recent history, and are reflected in our budget choices. Residents also highlighted important suggestions to raise and save money, and these are and will be reflected in the council's decisions such as reducing the cost of senior management, renting out council buildings to increase income, partnering with community organisations to reduce costs and using commercial opportunities like events in parks to generate income to protect local services.

Throughout the last year, the council has taken a detailed look at what we do, how we manage demand for our services and how we use our assets. For 2026-27 to 2028-29 over £99m of savings and income generating proposals, have been agreed to balance the budget for 2026/27 and help close the budget gap for future years. Despite this, it is estimated, over £130m of further proposals will need to be found over the next four years. Change on this scale will take time and so we will be using Exceptional Financial Support from the Government to balance the budget for 2026-27 which we are assuming will be agreed. This will also assist us in balancing the current year position and rebuilding our financial resilience through replenishing our reserves.

In line with the Government's expectations, and to meet the need to fund essential services, Lambeth like most other councils, proposes to raise Council Tax by 2.99% and the Adult Social Care precept by 2% for 2026-27, which is assumed by Government in their Core Spending Power calculations.

We know significant challenges remain for some of our most vulnerable residents. Lambeth's Council Tax Support scheme will still provide more than £27 million of support to tens of thousands of the lowest paid households, and maintain protections for pensioners, in addition to the council's Tackling Poverty programme which will provide over £5 million of support to vulnerable residents. Many of our residents will also receive more support through the Government's lifting of the two-child benefit cap from April 2026.

As a council, we believe it is important to manage our finances prudently and take action when needed. We have already seen the positive impact on our financial position of decisions made in this current financial year and will continue to use the same principles to further cement our progress:

- identifying options for new ways of working to be more efficient;
- transforming the shape of council services over the coming years to ensure value for money and good quality services for our residents;
- focusing on delivering savings and income generating proposals;
- limiting the use of and replenishing reserves.

FINANCE SUMMARY

This report and accompanying appendices set out the Administration's Budget for 2026-27 and Medium-Term Financial Strategy (MTFS) to 2029-30, including the Capital Programme, the Housing Revenue Account (HRA), Schools' Budget and the Treasury Management Strategy. A reminder of the savings proposals agreed by Cabinet, the Council Tax Support scheme, fees and charges and the Minimum Revenue Provision (MRP) are also included.

Since the last Financial Planning report presented to Cabinet on 2 February 2026, the final Local Government Finance Settlement (LGFS) has been published. The LGFS shows that Lambeth's share of existing funding streams will increase by **£16.296m** above our previous assumptions that were included in the July MTFS report to Cabinet. However, ongoing pressures in services across council services and the

need to rebuild and maintain resilience mean that growth of **£68.282m** is needed to ensure the budget will be sufficiently robust to withstand cost and demand pressures in these areas.

This report presents:

- The General Fund budget for 2026-27
- Key developments and risks for Local Government finance
- Forecast Financial position for 2025-26
- Capital investment and financing

This report sets out proposals that will deliver a balanced budget for the 2026-27 financial year as follows:

- Growth and investment in services for key priorities and demand pressures of **£68.282m**, including provision for inflationary pressures of **£19.022m**
- Revenue savings of **£46.580m**
- A council tax at band D of **£1,536.60**, a 2.99% increase in general Council Tax and a 2.00% increase in the Adult Social Care precept set by Lambeth Council

This report also sets out a reduced but still significant capital programme of £74.5m for the General Fund for 2026-27 and £209.5m for the Housing Revenue Account over the MTFS period (to 2029/30).

As with many authorities the council has applied for Exceptional Financial Support (EFS) to support the General Fund. London Councils anticipate that as many as 17 London Councils will require EFS by 2028. Some authorities are finding themselves in the position that they are needing to use EFS to a substantial level on a year-by-year basis, but the council's application is a short term measure in addition to the £40m of support for the Housing Revenue Account (HRA) in 2025-26. EFS is not a grant. It allows councils to borrow or use capital receipts to fund day to day services helping them to maintain essential operations while working towards a more sustainable financial position. Reference to the EFS application is made throughout this report as it will form the bedrock of rebuilding our resilience including allowing realistic timeframes to deliver the transformation required for savings, cost reductions and financial sustainability.

An application of £116m was submitted for support across the three years 2024-25 through to 2026-27 in declining amounts. Specifically, the EFS will support:

- The rebuilding of General Balance reserves to the level recommended as prudent by the S151 officer (estimated £40m)
- Address historical issues in relation to bad debt provisions (estimated £16m)
- Fund the current year underlying overspend and address one-off pressures (£40m, of which £17.1m relates to the quarter 3 forecast, the balance in respect of a contingency relating to one-off pressures)
- £20m to balance the 2026-27 budget.

As is the case for the HRA, the aim is to fund the EFS from capital receipts generated from the disposal of assets in line with the capital strategy and strategic asset management framework as part of our wider work to deliver value for money for our residents and which are referenced later in this report. This reduces the burden on the revenue budget for paying back and servicing increased debt. Until such time as receipts are banked, we make provision for the revenue impact of borrowing to support the EFS in our Medium-Term Financial Strategy (MTFS).

It is emphasised that the application for EFS is a one-off measure to restore our financial stability. This also assists us in responding directly to the concerns expressed by the External Auditor in their statutory recommendations of February 2025. We do not expect to apply for EFS in future years and will work hard

to minimise the level of EFS we utilise as we have done with the EFS that was approved for the HRA last year.

RECOMMENDATIONS

1. Pursuant to section 25 of the Local Government Act, to consider and note the Section 151 Officer's Assurance Statement in Appendix 12.
2. To agree the Council's Medium Term Financial Strategy as set out in Appendix 1.
3. To agree the General Fund (GF) revenue budget for 2026-27 as set out in this report, which, for the avoidance of doubt, includes:
    - The Council Tax model set out in Appendix 2 and
    - A total cash limit of £471.852m, with division totals as set out in Appendix 14.
4. To agree a 2.99% increase in addition to the Government's 2% Adult Social Care precept increase to the Lambeth element of the Council Tax for 2026-27.
5. To note the council tax base of 116,594 for the year 2026-27 and a business rates income of £256,163,854, Lambeth's share being £76,849,156.
6. To note Lambeth's council tax requirement is £179,158,340 as detailed in Appendix 2.
7. To set the 2026-27 Lambeth element of the council tax for band D dwellings at £1,536.60.
8. To agree to the Council Tax Support scheme as summarised in paragraph 2.16 and 2.17 and detailed in Appendix 3.
9. To note the £46.580m of revenue savings for 2026-27 and the cumulative savings totalling £99.773m over the MTFS period as detailed in Appendix 4.
10. To agree the proposed increases to fees and charges as set out in Appendix 5.
11. To agree the Housing Revenue Account budget for 2026-27 as detailed in paragraphs 2.32 to 2.46 and Appendix 6.
12. To agree the approach to allocating and distributing the Dedicated Schools Grant (DSG); Block Funding for Schools, Early Years, High Needs and endorse the list of services to be charged to the Central School Services Block as agreed by Schools' Forum and set out in Appendix 7.
13. To approve the revised total of £74.475m for the General Fund Capital Investment Programme 2026-27 and £64.355m HRA Capital Investment Programme 2026-27 summarised in Appendix 8.
14. To adopt the Treasury Management Strategy and the associated prudential indicators, investment thresholds and limits for 2026-27 to 2028-29, as set out in Appendix 9.
15. To adopt the Capital Strategy as set out in Appendix 9A
16. To adopt the Minimum Revenue Provision policy as detailed in Appendix 10
17. To adopt the Reserves Policy as set out in Appendix 11
18. To note the financial risks set out throughout this report.
19. To note the current General Fund budget position as at Quarter 3 for 2025-26 in paragraph 3.1.
20. To adopt the Flexible Use of Capital Receipts Policy as set out in Appendix 13

21. To set the Lambeth element of Council Tax applicable to dwellings listed in different valuation bands using the statutory ratios

Band A	Band B	Band C	Band D	Band E	Band F	Band G	Band H
£1,024.40	£1,195.13	£1,365.87	£1,536.60	£1,878.07	£2,219.53	£2,561.00	£3,073.20

22. To note that for the year 2026-27, the Greater London Authority (GLA) provisional precept, in accordance with Sections 88 and 89 of the Greater London Authority Act (1999) as amended by section 77 of the Localism Act 2011, to be confirmed at GLA's budget Meeting on 26 February 2026

Band A	Band B	Band C	Band D	Band E	Band F	Band G	Band H
£340.34	£397.06	£453.79	£510.51	£623.96	£737.40	£850.85	£1,021.02

23. To approve the total amounts of Council Tax including GLA precept for the year 2026-27 for each of the categories of dwellings as shown below:

Band A	Band B	Band C	Band D	Band E	Band F	Band G	Band H
£1,364.74	£1,592.19	£1,819.66	£2,047.11	£2,502.03	£2,956.93	£3,411.85	£4,094.22

1. CONTEXT

1.1 The budget and Council Tax are being set in the context of continuing to deal with well over a decade of structural underfunding and pressures on services, as well as significant changes in the local government funding regime. While our previous plans had included more severe funding cuts than we now see, it does point to a permanently reduced financial envelope. The Budget and MTFS ensure financial resources are aligned to the council's priorities as set out in the Borough Plan – Lambeth 2030: Our Borough, Our Lambeth

1.2 The January Finance Planning and Medium-Term Financial Strategy (2025-26 to 2029-30) Report to Cabinet gave an overview of the Government's Autumn Statement as well as the Provisional Local Government Finance Settlement announced on 17 December 2025. This report now updates that position for the Final Local Government Finance Settlement announced on 9th February 2026.

Economic Outlook

1.3 In its November 2025 economic and fiscal outlook, the Office of Budget Responsibility (OBR) projected that UK gross domestic product (GDP) will grow by 1.5% in 2025, then fall slightly to 1.4% in 2026, before settling at 1.5% to 2029-30.

1.4 The latest reported consumer price inflation is 3.6% to December 2025. The OBR expect Consumer Price Index (CPI) inflation to average at 3.5% for 2025-26 before falling to 2.2% in 2026-27 and return to the 2.0% target rate by 2027-28 partly due to the direct and indirect impact of the measures announced in the November Budget.

1.5 The Bank of England's (BoE's) base interest rate is 3.75% as at February 2026 after it voted to maintain interest rates in its February 2026 meeting. While inflation is above the 2% target, the Bank now expects it to fall to target from April. The Bank has indicated that the rate is likely to reduce further, and it is widely expected that the base rate will be reduced to 3%-3.25% by the end of 2026. Further detail is given in Appendix 1.

London Context

1.6 London Councils have reported that London boroughs are facing a £1bn budget shortfall compared to their original budget plans for this year (2025-26). Homelessness represents the largest single driver of London boroughs' current financial pressures, accounting for £740m of their forecast overspend with Boroughs collectively spending around £5m each day on temporary accommodation.

1.7 London is already the region most reliant on Exceptional Financial Support (EFS) to balance council budgets with six boroughs currently using EFS to balance core budgets. London Councils warned that this number could rise to 17, meaning up to half of London boroughs could require emergency support to avoid bankruptcy by 2028.

Local Government Finance

1.8 The Provisional Local Government Finance Settlement (PLGFS) was presented to Parliament on 17 December 2025. This confirmed and provided details of many of the funding proposals from the Budget in November 2025 and the local government finance policy statement from 20 November 2025. Final confirmation of 2026-27 funding in the Local Government Finance Settlement was confirmed in a Written Statement in Parliament on 9 February 2026. The Final Settlement position was largely in line with the provisional settlement with a small increase in transitional protection in

the form of the Recovery Grant uplift and more funding for homelessness. The final Council Tax and Business Rates baseline figures were agreed by Corporate Committee on 29 January 2026.

1.9 While the final Local Government Finance settlement only provides details for a single financial year (2026-27), the provisional settlement also included 2027-28 and 2028-29, the remaining two years of the current Spending Review (SR25) period. This was our first clear view of the result of major reforms for local government funding, namely the Fair Funding Review 2.0 (FFR2.0) and the Business Rates Baseline Reset. FFR2.0 updated the share of national funding for each council and the Baseline Reset updated the amount of each council's funding that is expected to come from locally retained business rates income.

1.10 The provisional settlement showed that nationally Core Spending Power (CSP) will rise by £4.2bn in 2026-27, a further £2.3bn in 2027-28 and then £3.6bn in 2028-29, but this is heavily reliant on council tax income, through a combination of assumed tax base growth and maximum increases allowable under the referendum limit. Of the £11bn increase in CSP between 2025-26 and 2028-29, £8.3bn (75%) is expected to be funded through higher council tax income.

1.11 Despite the average increases to CSP nationally, the impact of reforms on local authorities varies widely, with increases in CSP of nearly 30% for some councils compared to their 2025-26 figure, and some councils with reductions of over 15%. This variation is also seen in the difference between outer and inner London boroughs, with outer London boroughs seeing average increases of 31.5% in Fair Funding Allocation but inner London boroughs like Lambeth with average reductions of 15.5% over the three years.

1.12 Transitional Protection and Recovery is the mechanism the Government has used to smooth the transition from 2025-26 funding levels to the new levels based on new shares. Most councils will have protection to 100% of their 2025-26 income made up of funding allocation, council tax (with growth assumptions), the grants that have been rolled into the funding allocation for 2026-27 and the recovery grant.

1.13 There is then further funding under the Recovery Grant Guarantee: a funding increase of 5% for CSP in 2026-27; another 1% in 2027-28 (i.e. 6% more than 2025-26); and a further 1% in 2028-29 (i.e. 7% more than 2025-26), but with a cap of £35m in total allocated over the three years. Most councils are expected to reach this through their new funding allocations, but 22 councils will receive funding under the guarantee in at least one year of the settlement period, of those, four councils (Lambeth, Islington, Southwark and South Tyneside) will have their transitional funding limited by the £35m cap.

1.14 Nationally, the final settlement for 2026-27 provided further transitional protection of £115m for 2026-27, £150m in 2027-28 and £175m in 2028-29, totalling £450m over three years. There was also more funding under Homelessness, Rough Sleeping and Domestic Abuse grant.

2. PROPOSAL AND REASONS

Provisional Local Government Finance Settlement 2026-27 to 2028-29, Final Local Government Finance Settlement 2026-27 and impact on Medium Term Financial Strategy (MTFS)

2.1 The Council's financial position as outlined in the July Report to Cabinet showed a funding gap of £49.910m for 2026-27 and £84.378m over the MTFS period of 2026-27 to 2029-30. This included £24.562m of savings for 2026-27 and £52.860m across the MTFS period. The provisional settlement, the first to cover more than a single financial year since 2018, set out the planned funding

for 2026-27 to 2028-29. The Final Settlement was announced on 9th February 2026 and was largely in line with the provisional position, with a small increase in transitional protection and ringfenced funding. The MTFS has been updated to take into account the Provisional and Final Settlements, and the changes to the MTFS are summarised below and detailed in Appendix 1.

2.2 Lambeth's funding reduces over the period as the 100% income protection relies on an unachievable growth in the council tax base. There are two sharp drops in the planning period: between 2026-27 and 2027-28 as we are currently not planning to use EFS to balance the 2027-28 budget position, and between 2028-29 and 2029-30, after the end of the transitional protection which would be £36.291m in 2028-29.

2.3 On the expenditure side, we continue the approach as set out in the July report, planning to meet service demands across the organisation and rebuilding greater resilience into our plans to allow us to take a more strategic look at improving our services despite a reduced funding envelope following the implementation of funding reforms.

2.4 Bringing together our assumptions on funding and expenditure over the next three years, we see budget shortfalls in every year from 2027-28 to 2029-30. The budget gap shows the amount of cost reductions or income increases that is needed in order to set a balanced budget, assuming budget gaps in the prior year is closed.

Table 1 Overview of MTFS

	2026-27	2027-28	2028-29	2029-30
	£m	£m	£m	£m
Total Funding	-471.852	-465.626	-452.017	-414.425
Total Expenditure	471.852	502.388	514.335	544.023
Assume prior year budget gap closed		-	-36.762	-62.318
BUDGET GAP	**0**	**36.762**	**25.556**	**67.280**
Cumulative Shortfall	**0**	**36.762**	**62.318**	**129.598**

2026-27 General Fund Resources and Budget

2.5 Table 2 below shows the resources available for 2026-27 based on the key output from the final Local Government Finance Settlement and the Council Tax base set by Corporate Committee on 29 January 2026. The budget changes focus on meeting unavoidable cost and demand pressures, restoring resilience to meet unplanned and unexpected events and maintaining an affordable capital investment programme. Directorate and divisional totals are set out in Appendix 14.

Table 2 Resources and Budget 2026-27

	2026-27 £m
Funding Allocation[+]	-259.126
Recovery Grant	-1.281
100% Income Protection	-5.861
Recovery Grant Guarantee	-11.667
Recovery Grant Uplift	-0.726
Un-Ringfenced Funding	**-278.661**
Homelessness, Rough Sleeping and Domestic Abuse Grant	-8.890
Children, Families and Youth Grant	-6.191
Crisis and Resilience	-5.204
Public Health Grant*	
Ringfenced Consolidated Grants	**-20.285**
Total Government Funding	**-298.946**
Council Tax Baseline	-173.175
Tax Base Changes	2.532
Annual Increase	-5.102
Social Care Precept	-3.413
Income from Council Tax	**-179.158**
Collection Fund Deficit	6.252
TOTAL FUNDING	**-471.852**

[+]Funding allocation includes baseline funding (retained business rates and top up), revenue support grant and local authority better care grant

*Public Health grant included for completeness but accounted for outside general fund spending as a separate specific ring fenced grant.

Net Revenue Budget 2025-26	443.450
Adjust for rolled in grants and other funding changes	35.494
Changes for 2026-27	
Pay related changes	6.772
Service Demands	30.770
Restoring Resilience	21.692
Cost of Borrowing	25.300
Other Corporate Items	-25.046
Budget before Savings and Efficiencies	**538.431**
Agreed Savings	-46.580
Exceptional Financial Support	-20.000
TOTAL EXPENDITURE	**471.852**

Funding Allocation

2.6 Lambeth's funding allocation for 2026-27 is based on the new national shares as a result of FFR2.0 which has seen a reduction of £17.5m compared to 2025-26 after accounting for grants that were previously allocated under their own headings. This is mitigated in the short term by the continuation of the recovery grant, 100% income protection and the recovery grant guarantee. Together funding under this heading makes up 55.9% of total funding in 2026-27.

Recovery Grant, 100% Income Protection and Recovery Grant Guarantee and Recovery Grant Uplift

2.7 Funding under this heading helps to smooth the impact of moving to new funding shares after the implementation of the new formula. In 2026-27, this makes up 3.7% of total funding. While this is helpful for the 2026-27 budget position, it does not resolve long term budget pressures beyond the period of protection.

Ringfenced Consolidated Grants

2.8 The second strand of "funding simplification" brings together 16 previously separate funding streams into four ringfenced grants. As most of these were existing funding streams, Lambeth's gains and losses compared to 2025-26 will depend on the change between the old and new distribution method.

2.9 Homelessness, Rough Sleeping and Domestic Abuse Grant is made up of the prevention and relief element (55%) of the Homelessness Prevention Grant, Rough Sleeping Accommodation Programme, Rough Sleeping Prevention and Recovery Grant, and Domestic Abuse Accommodation Support. Lambeth's total allocation in 2025-26 for these funding streams was £9.085m and will fall to £8.889m in 2026-27.

2.10 Children, Families and Youth Grant is made up of the Children's Social Care Prevention Grant, Supporting Families element of the Children and Families Grant, Holiday Activities and Food Programme, Post-16 Pupil Premium Plus Programme and new funding for Children's Social Care Reform. Lambeth's total allocation in 2025-26 for these funding streams was £4.916m and will increase to £6.191m in 2026-27.

2.11 Crisis and Resilience Grant brings together the successor to the Household Support Fund and Discretionary Housing Payments (DHP). Lambeth's total allocation in 2025-26 for these funding streams was £5.747m, with £0.952m for Discretionary Housing Payments and £4.793m for the Household Support Fund. As the Household Support Fund was not expected to continue, it is not included in 2025-26 above for comparison purposes. The combined total in 2026-27 will be lower at £5.204m. The expectation is that the DHP element remains at the 2025-26 level.

2.12 Public Health Grant adds the Drug and Alcohol Treatment and Recovery Improvement Grant, Local Stop Smoking Services and Support Grant and Swap to Stop programme to the Public Health Grant. This is a fully ringfenced specific grant so while included for completeness, it is accounted for separately. Lambeth's allocation for 2026-27 is £43.871m.

Council Tax

2.13 The Government's Council Tax increase referendum limit remains at 2.99% with the Adult Social Care Precept at 2%, also unchanged from 2025-26. The band D rate for the Lambeth element of council tax for 2025-26 will be £1,536.60, an increase of £73.03 from the 2025-26 rate. This is

equivalent to an increase of a £1.40 per week. The discounts and premiums for 2026-27 are unchanged from 2025-26.

Table 3 Lambeth element of Council Tax

Band A	Band B	Band C	Band D	Band E	Band F	Band G	Band H
£1,024.40	£1,195.13	£1,365.87	£1,536.60	£1,878.07	£2,219.53	£2,561.00	£3,073.20

2.14 The total Council Tax amount paid by residents includes a contribution to the Greater London Authority (GLA's) budget which the council has no power in setting but collects on the London Mayor's behalf. The Mayor has proposed a 4.1% uplift from 2025-26 levels, which equates to £20.13 to the band D rate. The proposed increase comprises £15 for the Metropolitan Police Service and £5.13 for the London Fire Brigade.

Table 4 GLA Precept

Band A	Band B	Band C	Band D	Band E	Band F	Band G	Band H
£340.34	£397.06	£453.79	£510.51	£623.96	£737.40	£850.85	£1,021.02

2.15 We are forecasting a net tax base decrease for 2026-27 of 1,730 band D equivalent dwellings, this represents a reduction of 1.46% (growth in 25-26 was 3.35%). This is partly due to an overestimate of the premium that is charged on second homes, given the exemption period of 12 months for properties that are being actively marketed for sale and a stabilisation of those that are charged the long term empty premium. These premiums are expected to have an impact on behaviour with the desired outcome being those properties returning to full time occupation.

Council Tax Support Scheme

2.16 For 2026-27, we are proposing a banded scheme where the level of support is based on:

- income bands where people are grouped into a band according to their income;
- household circumstance bands where households are grouped into a band according to the make-up of the household;
- a maximum of 73.5% of all working age recipients bill met through CTS.

2.17 Each band has a set amount of support that people in that band will receive. Each household will be in a specific band for both income and household circumstance. The proposed scheme has been costed to ensure the scheme is affordable for the council, while targeting support to those we know need it most. Details of the scheme, responses to the consultation about the proposed scheme and the equality impact assessment can be found in Appendix 3-3B.

Business Rates Retention Scheme

2.18 In preparation for further localisation of business rates, all 32 London Boroughs, the City of London Corporation and the Greater London Authority were part of a London-wide business rates pool arrangement from 2016-17 to 2020-21. However, due to the uncertainty around business rates income brought on by the pandemic, the boroughs decided not to continue with the pooling arrangement after 2020-21.

2.19 The councils continued to monitor the position and as a result have taken the decision not to form a pool for 2026-27. However, all parties will continue to monitor the situation and remain open to pooling if and when circumstances are more suitable.

2.20 The collection fund is the mechanism by which income from the council tax and business rates is transferred to the general fund. As this is done on an estimated basis - any differences between estimates and financial year end positions will need to be reflected in following years. This reduction in resources is matched by a reduction in expenditure as a technical adjustment in corporate items, with no net impact on the budget gap.

Pay related changes

2.21 The staff pay award has been included at 3% and also included is the start of the phased reduction of the vacancy factor in pay budgets. We are also assuming a prudent reduction in contributions the council needs to make to the pension fund relating to past deficits as the result of the triennial valuation.

Service Demands

2.22 Lambeth continues to experience significant demand and cost pressures in services in responding to homelessness, pressure in social care and changing demographics. We have included increases to budgets to address structural deficits following a comprehensive review of service budgets over the last year. This includes the virement of contingency budgets held corporately in the current year to services.

2.23 For financial planning purposes, we have prudently included an estimate of the impact of falling rolls in schools but any decision on further action will be subject to the relevant consultation requirements and decision-making process.

Restoring Resilience

2.24 Inflation on contracts and the cost of utilities have been included, informed and updated by market conditions and agreed indicators, as well as building in the ability to respond to the volatility in energy prices that has been experienced in the last few years.

2.25 Given the scale of the financial challenge in limiting cost increases as well as delivery of savings, we have put in place contingency resources to put the council in a stronger position to deal effectively with unexpected, unplanned events and pressures.

Cost of Borrowing

2.26 This is an area which is subject to volatility depending on interest rates and the actual delivery of the capital programme. The planned increases reflect our latest understanding of the revenue impact of investments in assets. We have then included the cost of full use of capitalisation allowed under EFS. The medium term objective, however, will be to fund EFS primarily from capital receipts to minimise the impact on our revenue budgets. We have also prudently set aside budget to fund feasibility works to enable capital projects to be more accurately estimated in advance of commencement and offset the costs of where main works do not go ahead.

Corporate Items

2.27 Corporate items includes concessionary fares, levies including the apprenticeship levy and business rates for buildings occupied by the council, which are budgeted for centrally. These costs are charged by external bodies to Lambeth and are largely uncontrollable by the council in the short-term.

2.28 The reduction against prior year budgets is primarily due to budgets held corporately in 2025-26 for risks in demand-led services, being moved to specific service area budgets from 2026/27.

Savings and Income Generation

2.29 To achieve a balanced position for 2026-27, the council must implement savings and increase income totalling £46.580m. This is made up of £27.367m of efficiency savings, £10.073m of increased income generation and £9.140m of other savings which may impact service delivery. The savings total includes phase 2 of the staffing restructure which is continuing the transformation work that began in 2025-26 with the reduction of directorates from seven to five and the reduction of senior management posts by 20%. The phase 2 restructure will aim to complete the realignment of council structures to deliver within the new financial envelope. Details of the savings and income generation proposals agreed since last year's budget report can be found in Appendix 4.

2.30 A summary of the savings proposed by Directorate are shown in Appendix 4 and in the table below.

Table 5 Savings by Directorate

	2026-27 £000	**2027-28** £000	**2028-29** £000	**2029-30** £000	**Total** £000
Integrated Health and Adult Social Care	4,220	2,690	1,650	120	8,680
Children, Families and Education	4,787	6,014	2,764	426	13,991
Housing Services	8,196	10,556	7,800	-	26,552
Growth and Environment	17,623	4,847	2,776	-	25,246
Resources	7,124	2,025	1,525	-	10,674
Corporate Items	4,630	5,000	5,000	-	14,630
Totals	**46,580**	**31,132**	**21,515**	**546**	**99,773**
Savings as agreed:					
up to 31 March 2025	24,562	17,498	10,801	-	52,861
at November 2025 Cabinet	14,249	7,170	6,850	-	28,269
at 2 February 2026 Cabinet	7,769	6,464	3,864	546	18,643

Fees and Charges

2.31 The Council's funding strategy includes income generation from fees and charges, having due regard to our social and environmental responsibilities. The council levies fees and charges for a range of activities and services that it provides. These services/activities are provided where statute places a duty on the council to do so or where they are discretionary services that contribute towards the agreed Borough Plan outcomes. The proposed increases in fees and charges are either by September CPI inflation + 1% (4.8% total) or by an amount which allows the services to recover more of their costs for 2026-27, where permitted by statute and in the spirit of the principles set out in the Fees and Charges Policy. The fees and charges are based on a realistic assessment of the ability to deliver the level of income that has been budgeted for. A detailed fees and charges schedule can be found in Appendix 5.

2026-27 HOUSING REVENUE ACCOUNT RESOURCES AND BUDGET

2.32 A detailed report of the HRA budget, Capital Programme and Recovery Plan is set out in Appendix 6.

2.33 Lambeth Council is the second largest local authority landlord in London with 23,600 socially rented homes, and 10,000 leasehold properties. The Council operates a Housing Revenue Account (HRA), which is a ring-fenced account for the management and maintenance of the Council's housing stock and provides services to tenants and leaseholders.

2.34 The borough's housing stock is ageing and needs investment, with most homes being flats that are on average more than 60 years old. In 2023 the Council commissioned an extensive condition survey to inform the future investment in its housing stock. This identified a £4.9bn investment requirement over the next 30 years, including Lambeth's wider efforts to move towards its carbon net zero ambitions. Like many HRAs across London, Lambeth continues to face significant pressures following previous government decisions around rent reduction over a four-year period and the recent 7% rent rise cap in 2023.

2.35 HRA reserves reduced by £12.8m in 2022/23, with a further reduction of £12.5m in 2023-24 and £8.6m in 24/25 leaving only £5.6m of reserves at March 2025. The forecast for 2025-26 shows a positive underspend position of £9.5m (after EFS) which will be used to increase reserves. This will bring the level of reserves to £15m (7% of total income).

2.36 During the year, the Council commissioned a review of the HRA financial position and the HRA Business Plan. This review provided some parameters within which a viable HRA Business Plan should operate and highlighted the need to recover the level of HRA reserves to a minimum of 10% of turnover before then looking at the longer-term viability of the HRA and the resources required to fund future investment needs.

2.37 The five-year HRA Recovery Plan aims to:

- set a balanced HRA budget that maximises income and reduces expenditure;
- increase reserves over five years to a level above 10% of turnover;
- increase resources available for capital investment either through Depreciation, Revenue Contribution to Capital and Interest payable; and
- reduces the backlog of disrepair cases and reduces the cost of disrepair.

2.38 Table 6 below summarises the five-year HRA Recovery Plan which is shown in Appendix 6. This illustrates the need for Exceptional Financial Support that was approved for 2025-26 and the Disrepair provision in 2026-27 to manage the reduction in disrepair claims and costs.

2.39 The HRA Surplus generated will be added to the reserve which will exceed £28m (10% of turnover) of reserves by March 2030. In addition, along with the surpluses, there is £14m of additional (depreciation) resources included in Capital Financing.

Table 6 – HRA Summary budget

	25-26	26-27	27-28	28-29	29-30	30-31
	£'000	£'000	£'000	£'000	£'000	£'000
Income	(224,715)	(235,835)	(246,203)	(257,059)	(268,424)	(280,324)
Expenditure	194,928	186,854	179,053	181,571	185,843	192,600
Capital Financing	60,496	63,315	67,204	71,360	75,136	79,276
EFS	(40,000)					
Provision		(15,000)	0	0	0	0
(Surplus)/Deficit	**(9,291)**	**(666)**	**54**	**(4,128)**	**(7,445)**	**(8,448)**

2.40 The HRA receives income from tenant rents and service charges levied on tenants and leaseholders. The rent increase and Service Charges were approved by Cabinet on 2nd February 2026. For 2026-27 the Council increased rents by 4.8% which is the equivalent of CPI+1%. This rent increase generates an additional £8.1million of income.

2.41 The Government have recently announced that rent convergence will be implemented in April 2027, where an extra £1 can be added to the rent increase of CPI+1%, followed by an extra £2 on top of the CPI+1% rent increase in April 2028.

2.42 Supervision and Management relates to staff involved in the direct provision of services and support functions to Housing Services as well as support functions from the wider Council that are recharged to the HRA. The budget reflects increases in salary costs for the 2026-27 pay settlement and general inflation. This is offset by a £1m saving.

2.43 Repair and Maintenance covers the repairs contracts and Community Works teams who provide repairs services to council homes. The cost of disrepair is also included under this heading. Repairs inflation is often higher than the general inflation that is applied to the rent increase. Inflationary pressures are being felt in supply chains and in material and labour costs as a result of ongoing international conflicts and the geopolitical environment. During the year, the repairs contractor for one half of the borough - exited the North Area repairs contract, mid contract term. A temporary arrangement has been put in place with an extension of the South Area repairs contract to cover the North Area. The reduction in budget relates to the improved projections for disrepair.

2.44 Depreciation is a charge to revenue for the use of the housing assets. It transfers resources to capital to fund the investment programme to maintain its value and condition. Interest is charged on borrowing from historic investment in the housing stock. The borrowing related to EFS is required to be repaid as it does not add value to the housing asset. Accounting policy requires this debt to be repaid over a period of 20 years, and so a revenue (MRP) charge of £2m is required. However, this can be reduced by any amounts of debt repaid from capital receipts received from disposals.

2.45 The stock condition surveys underpin the programme of housing stock investment set out in Table 7. In addition to the investment programme, the HRA has continued funding of the Housing Delivery Programme where the costs are largely funded by the Development Partner. The HRA acquisition programme maximises grant funding opportunities to increase the HRA stock.

Table 7 Housing Stock Investment Programme

	Budget 2025-26 £'000	Budget 2026-27 £'000	Budget 2027-28 £'000	Budget 2028-29 £'000	Budget 2029-30 £'000
Housing Stock Investment	38,000	52,455	42,336	45,873	36,424
Housing Delivery	2,000	2,000	2,000	2,000	2,000
Acquisitions	27,400	7,900	0	0	0
EFS Capitalisation	40,000	0	0	0	0
Net slippage	1,688	2,000	2,000	4,000	12,000
TOTAL EXPENDITURE	109,088	64,355	46,336	51,873	50,424

2.46 The nature of capital investment results in capital projects often extending beyond the end of the financial year, resulting in slippage of budgets. In addition, there needs to be flexibility in the programme to change the year a project is delivered to maximise delivery efficiencies and respond to changes in condition and priorities over the five-year period. Capital expenditure and resources forecasts will be monitored and managed so as not to place additional borrowing costs on the HRA.

2026-27 Dedicated Schools Grant Resources and Budget

2.47 The Department for Education (DfE) has confirmed the allocation of the Dedicated Schools Grant (DSG) for 2026-27, as set out in table 8 below. The gross DSG includes the funding top-sliced (recouped) for academies and high needs sixth form provision.

Table 8 DSG funding for 2026-27

Block	**£000**
Schools Block	242,598
CSSB	1,400
Early Years	57,037
High Needs	75,231
Gross DSG Totals	**376,266**
Less recoupment	(91,240)
Less National Non-Domestic Rates	(4,496)
Expected Net DSG Budget for LA	**280,530**

2.48 While the overall DSG position has been stable in recent years, the 2026–27 budget marks a structural shift. Rising High Needs costs combined with falling pupil numbers mean the DSG is forecast to move from a small cumulative surplus to a significant deficit position.

2.49 While unit funding rates have increased across all blocks, a key driver of funding is the number of pupils, captured largely via an October 2025 census. This impacts Lambeth due to the ongoing reduction in pupil numbers across the borough: the Schools block funding for 2026-27 being based on 28,424 pupils, a reduction of 1,032 pupils from 2025-26. Funding for some blocks will be updated via other censuses during 2026 and into 2027.

2.50 Appendix 7 sets out the DSG budget proposals for 2026-27 that have been considered in collaboration and consultation (and approval where necessary) with Schools' Forum in recent months. The DSG looks set to report a cumulative surplus of £0.157m in 2025-26 (down from £10.7m in 2024/25): This is made up of forecast net surpluses on the Schools Block (£2.212m) and Early Years (EY) block (£3.652m) being largely offset by a deficit in the High Needs Block (HNB) (£5.707m).

2.51 Based on the proposed budgets, the DSG is expected to move from the current small surplus position, to close 2026-27 with an overall cumulative deficit of £12.3m. This is driven by the High Needs Block forecast deficit, which reflects both increasing numbers of Education Health and Care Plans (EHCPs) and the rising cost of specialist placements, particularly for pupils with complex needs. The deficit position will mean Lambeth will now be in a similar situation to many other councils.

2.52 When the DSG moves into an overall deficit, the individual balances on the DSG blocks will then be consolidated and will be managed as one deficit balance. The government has, however, extended the Statutory Override for DSG (to 2027-28), resulting in the DSG deficit being ringfenced from overall earmarked Council reserves, avoiding any direct impact on the Council position for now. The government has also, on 9 February, announced they will fund 90% of historic High Needs deficits at 31st March 2026, subject to conditions. Further detail is awaited to determine whether assumptions can be changed, there is therefore no assumption for this funding within the budget, but any changes will be reflected once confirmed.

2.53 Work will be required to continue to develop initiatives and mitigations to manage and reduce the DSG deficit through a local SEND reform plan. This will be alongside, and in addition to, any requirements resulting from the expected Schools White Paper (where further details on the reform of the Special Education Needs and Disabilities (SEND) system will be announced). as well as the further details expected on government support for local authorities with historic and accruing DSG deficits, including on the 9 February announcement.

2.54 Risks also remain due to continued falling pupil numbers and with the HNB in particular, having to support provision for higher numbers of pupils with Education, Health and Care Plans (EHCPs).

2.55 The Early Years (EY) Block is increasing again for 2026-27 due to the full year effect of the expansion by DfE of EY provision for working parents of up to two-year-olds, as well as for increases to hourly rates. The EY Block for 2026-27 is £57.0m, up from £54.3m in 2025-26. Take up of these arrangements, plus the trend of falling numbers of children, continues as a risk going into 2026-27.

2.56 At a school level, the financial position remains very challenging. 22 out of 64 maintained schools have sought licenced deficits totalling £12.2m for the 2025-26 financial year, to carry into 2026-27. This is an increase of almost £1m from the licensed deficits sought for 2024-25. Declining pupil rolls is a major theme adversely impacting Lambeth school balances. In recent years, Lambeth has seen a significant decrease in the birth-rate, as well as outward migration from the borough due to Brexit, the impact of the COVID-19 pandemic, and the cost of living crises. Because schools are funded per-pupil, falling numbers have a significant downward impact on schools funding. Inflationary pressures also continue to be significant for schools, with rising demand for areas such as special education, pay costs and non-pay costs such as utilities. If maintained schools with deficit balances convert to academy status, those deficit balances transfer to the Council's General Fund, creating a direct financial pressure. The School Organisation Plan is continuing to consider school requirements in the light of this and other factors.

2.57 A separate risk arises if the overall balance of delegated funds held across schools reaches a deficit position. At that point, while the deficits would remain the schools' responsibility, the Council would need to recognise a provision in the General Fund, to reflect the risks that deficits cannot be recovered. This would increase pressure on the General Fund at a time of wider cost pressures and constrained resources.

2.58 To further strengthen oversight and strategic intervention, Lambeth established the Schools Efficiency Deficit Board (SEDB) in April 2025. This Board, comprising representatives from Schools'

Finance, Human Resources (HR), Internal Audit, Education, and School Organisational Planning, has delivery actions for developing and executing a targeted action plan to strengthen financial oversight and help improve school finances through clear and measurable objectives. The Schools' finance team will also continue to collaborate with schools on a day-to-day basis, supporting them to reduce and eliminate school deficits and reduce risks.

3. KEY RISKS

2025-26 Position

3.1 The Q3 financial performance report shows a forecast overspend of £17.1m. The main overspending areas are on temporary accommodation which accounts for £18m of this variance with £5.6m in Growth an Environment, £6.7m Children, Families and Education and £3.7m for Integrated Health and Adult Social Care. It is emphasised that in the three areas impacted by high demand in recent years, measures to intervene early, control costs and achieve value for money have meant that forecasts are stabilising in children's social care and adult social care with some reductions in temporary accommodation. As part of the budget setting process a corporate provision was set aside in respect of demand-led pressures which significantly mitigates these pressures. However, there is also a significant pressure in debt interest and delays in delivery to the target operating model savings which increase the underlying pressure.

3.2 Measures are continuing to be taken to reduce spend, including reducing the spend control limit from £10,000 to £5,000, and we have revisited our budget assumptions in the MTFS (see Appendix One) in respect of the areas experiencing cost pressures. It is also highlighted that there remains a risk that the forecast could deteriorate as a result of further one-off items in relation to the bad debt provision and the capitalisation of salaries which have been impacted by the capital pause. These risks have been factored into our EFS application.

Growth and Environment

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3.3 The Directorate is currently forecasting an overspend for the current financial year. This position is driven primarily by the reprofiling of planned savings and a number of one-off financial pressures. The most significant of these relate to essential repairs and maintenance across leisure centres, increased food-waste disposal costs, and shortfalls in income levels. These pressures are being partly mitigated through the application of Food Waste Grant funding and available Section 106 and Community Infrastructure Levy (CIL) contributions.

3.4 With regard to the proposed savings programme, there are risks associated with the timing of their implementation. Several savings proposals are dependent on the completion of consultations and subsequent decision-making processes. Any delays to these activities will result in the reprofiling of savings in line with the revised delivery timetable, which the Directorate has already mapped. In addition, a number of savings depend on achieving increased levels of income. Delivery is therefore contingent upon those income streams materialising as forecast. Demand levels and associated risks have been modelled, and any variance will be addressed through ongoing monitoring and reporting.

3.5 The income generated from the Council's commercial property portfolio and from planning and building control services continues to be adversely affected by wider economic conditions. Depressed demand for planning and building control services, in particular, is having a noticeable impact on income levels. While the Directorate has successfully secured significant external funding to support its activities through grants and other contributions, the future availability of such funding remains subject to broader economic factors outside the Directorate's control and will therefore be closely monitored.

Housing General Fund

3.6 Providing suitable temporary accommodation (TA) for households that are homeless and have a priority need is a statutory duty. The cost of TA has been highlighted in recent years as our main service pressure and has had a significant detrimental impact on our overall finances. It is noted though, that in recent months we have seen a downward trend in numbers and the introduction of initiatives that are having a positive impact. However, it is widely recognised that the current cost of temporary accommodation is unsustainable, both locally and nationally. Between 1 April 2023 and 31 March 2024, Lambeth saw a 16% increase in households needing temporary accommodation. In addition, the rates paid for these placements increased by 14%, resulting in a 30% increase in expenditure for Temporary Accommodation.

3.7 This demand and increase in rates continued into 2024-25 before policies were implemented to limit the rates of new Temporary Accommodation and discharge homeless families into Private Rented properties. This stabilised the expenditure growth but resulted in the 2024-25 outturn exceeding £100m of expenditure on Temporary Accommodation.

3.8 Temporary accommodation income from Housing Benefit and rents is based on 2011 Local Housing Allowance and so has not kept pace with the growth in expenditure over the past 13 years. Income from TA rents funds less than 40% of the cost of the accommodation. In 2024-25 the £100m of expenditure was only matched with £40m of rental income resulting in a shortfall for the Council. Initiatives on prevention and move-on are aiming to reduce the numbers of families coming into TA and enabling them to move into secure housing more quickly, but there are limited affordable alternatives within London.

3.9 Due to the increasing numbers of properties and costs during 2024-25, the full year (52 weeks) forecast cost of TA in April 2025 was higher, at £115m. However, with continued initiatives in prevention and move on, and reducing the rates paid for TA, the 2025-26 expenditure has been held at £105m. The reductions in spend in this year have a positive impact on 2026-27 where for the start of 2026-27, it is forecast the full year cost in April will have reduced to £90m, with further reductions planned to be achieved to come in on budget by the end of 2026-27.

3.10 For 2026-27 savings initiatives have been implemented to reduce the cost of TA and increase the rent that can be charged and claimed from Housing Benefit. These savings total £4m in 2026-27 and increase to £9m in 2026-27 and beyond. These savings are reliant on properties being available at suitable rates, and landlords willing to lease the properties with the appropriate structure.

Children, Families and Education

3.11 Placement and workforce costs within Children's Social Care remain the main areas of budgetary pressure for the directorate. The care placement pressures have continued during 2025-26 and it is a volatile budget where an additional one or two children can quickly represent significant additional costs**,** but the directorate continues to press down on these costs. During 2025-26 there has been an increase in permanent Social Care staff (through proactive absorption of agency staff and permanent recruitment) which has enabled a significant reduction in the number and cost of agency staff.

3.12 For the proposed savings in 2026-27, the initial £722k total savings is across three areas (Increase in-house foster carers; Prevention of care starts; and Routes out of care) which have been identified following the external review by Newton Impact. There are significant further savings profiled through those initiatives for future years which continue to focus on improving outcomes by preventing

children coming into care through earlier intervention, improving routes out of care and continuing our success in recruiting more foster carers.

Adult Social Care

3.13 Central government has set out three priority outcomes for Adult Social Care which local authorities are expected to align with: ensuring a skilled workforce delivers quality care; promoting independence and choice for service users; and achieving joined-up health and social care. Funding has been simplified to reduce the number of grants which need to individually be reported against.

3.14 Increased complexity of care and rising costs of providing care remain the most significant pressures on the Adult Social Care budget in 2025-26, driven largely through higher levels of need, larger packages of care, and inflation in spot placement costs. The service has worked to manage demand pressures in the year to stabilise numbers supported and ensure service provision appropriately meets service users' needs.

3.15 Areas seeing sustained demand include nursing care for Older People, which has risen steadily since 2021-22 and is expected to continue, with additional demand often met through spot placement provision. Provider operating costs remain under pressure from broader inflation, National Insurance changes, and wage policy

3.16 As an LLW employer, the Council is committed to paying sustainable fee rates enabling providers to meet workforce requirements. National guidance also expects councils to commission at rates that stabilise the workforce and prepare for employment rights reforms, with an anticipated Fair Pay Agreement for adult social care in the later years of the planning horizon.

3.17 Actions taken to manage demand include a number of commissioning exercises undertaken to transition away from spot placement provision in key areas of demand towards more structured commissioning arrangements which will provide greater stability in provider availability and pricing, while aligning with higher standards of care. Other programmes of work are in train to review delivery models to provide better value for money while meeting the care needs of the local population.

Public Health

3.18 The Public Health Grant remains a core component of the Integrated Health and Adult Social Care budget. From 2026-27, the grant transitions to a multi-year settlement covering 2026–27 to 2028–29, offering improved budget stability despite final allocations pending confirmation, as well as consolidating the Public Health Grant with other related grants. The 2025-26 grant was set at £3.858 billion, an uplift of 5.4% which included additional NHS pay award funding. Contracts remain exposed to national NHS pay award uplifts, requiring careful forecasting to ensure pay inflation can be met within existing grant parameters.

3.19 The division's savings proposals will achieve savings within grant funded public health services, which provides an opportunity to review services provided elsewhere in the council which deliver on public health outcomes. The largest risks to savings delivery are around those proposals such as joint commissioning and sexual health services which require cross-borough service commissioning. This will require significant work with other South East London boroughs to commission services jointly which deliver benefits and cost savings for all boroughs involved.

Resources

3.20 The Directorate as a whole is currently forecasting an overspend position for the current year with the main pressures relating to staffing, which accounts for almost all of the controllable budget. The majority of this pressure is in the Finance Division where overspends have accumulated due to the need to use agency and interim staff to fill posts where permanent skilled workers have been difficult to recruit and to provide additional supernumerary resource over and above the baseline establishment to respond to the council's financial position.

3.21 There are also emerging pressures in the Data, Digital and Technology (DDaT) Service, primarily in relation to cost inflation, HRA recharges alignment, a review of the planned capitalisation of costs and savings delivery.

3.22 The MTFS has identified significant savings targets across the Resources Directorate over the next four years including amounts to be delivered in 2026-27. Implementation of these plans will continue to be mindful of the need to safeguard the statutory responsibilities of the s151 Officer and the council's finance function.

4. FINANCIAL MANAGEMENT

Reserves and Balances

4.1 Reserves are held to help ensure the Council has an appropriate level of financial resilience for potential future financial shocks and uncertainties and is more able to meet the costs of items where the pattern of expenditure is uneven, or timing is unknown. The general fund balance addresses the wider spectrum of unknown risks (as the HRA balance does for the ringfenced HRA account) whilst earmarked reserves are set aside for specific risks or future priorities.

4.2 The level of Council reserves varies hugely between different authorities (even relative to their size). Any use of reserves needs to be on the recommendation of the S151 officer and consider not just the short-term pressures to balance the budget, but the longer term risks to the Council's financial sustainability.

4.3 The significant demand pressures experienced across the organisation, with severe challenges in temporary accommodation and to a lesser extent, social care, has significantly depleted our reserves. Reserves are key in providing suitable financial resilience. It is the view of the S151 officer that the council should maintain reserves at 10% or net revenue expenditure (c£45m). This is set out in the council's Reserves Strategy at Appendix 11. This also responds directly to concerns raised by the External Auditor in their statutory recommendations issued in February 2025.

4.4 Table 9 below confirms our current reserve forecast position to this financial year-end, whilst also forecasting to 2029-30. EFS is key to replenishing our reserves position as it provides £40m to rebuild our General Balances to £45m (10% of net revenue spend).

Table 9 Reserves Forecast

Reserves by category	Actual	Forecast				
	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30
	£000	£000	£000	£000	£000	£000
Capital	4,425	2,000	2,000	2,000	2,000	2,000
CIL	18,314	6,000	6,000	6,000	6,000	6,000
Technical	9,117	9,117	9,117	9,117	9,117	9,117
Third party	12,287	11,350	9,080	6,810	3,632	1,362
Departmental	3,795	2,432	1,946	1,459	778	292
Corporate	132	0	0	0	0	0
Financial Risk	0	2,000	4,000	6,000	8,000	10,000
Transformation	0	0	0	0	0	0
GF Balances – unallocated reserves	5,000	45,000	45,000	45,000	45,000	45,000
GF Reserves	**53,070**	**77,899**	**77,143**	**76,386**	**74,527**	**73,771**
DSG Reserve (excluding deficit schools)	**14,577**	**15,230**	**15,230**	**15,230**	**15,230**	**15,230**
HRA Unallocated reserves	0	0	0	0	0	0
HRA Reserves	6,347	15,538	16,304	16,251	20,378	27,823
HRA Reserves	**6,347**	**15,538**	**16,304**	**16,251**	**20,378**	**27,823**
Total Balances and Reserves	**73,994**	**108,766**	**106,814**	**105,581**	**99,877**	**92,162**

4.5 It is assumed in table 9 that the EFS application is approved, and that unspent contingencies at the end of each year will be used to re-build the financial resilience reserve, noting that this will be considered as part of budget monitoring during each financial year. It also assumes that around £12m of CIL balances will be utilised to fund the capital programme for 2025/26 and the overall balance will reduce, although this will need to be finalised as part of closing the accounts at year end. Departmental reserves and third-party balances are assumed to reduce evenly over time, noting that a significant proportion of these relate to balances held in conjunction with third parties, predominantly our health partners. Again, these balances will be reviewed throughout the year. Technical reserves are predominantly smoothing reserves for Private Finance Initiative (PFI) schemes and the insurance reserve both of which will be maintained. The funding of the transformation reserve is to be considered at year end. As this is likely to be funded from capital receipts this is forecast to have a zero balance at this stage.

4.6 The DSG reserves in Table 9 largely represent the surplus balances held by schools, which are forecast by schools to increase to £15.2m by the end of 2025-26. (Deficit balances are reported elsewhere and are forecast to increase from £8.7m at the end of 2024-25 to £12.2m at the end of 2025-26). While there are significant pressures on schools' budgets, forecasting by schools shows that it is difficult to accurately forecast, particularly for the medium to longer term. The forecast balances from 2026-27 are therefore shown at the same level as 2025-26.

4.7 The table above also shows there was only £6.3m of HRA reserves available at the end of 2024-25. For 2025-26, the HRA were awarded £40m of Exceptional Financial Support. There is a £9.3m underspend (including EFS) reported in 2025-26 which will be added to reserves, increasing them to £15.5m. The HRA recovery plan will balance the reduction of disrepair cases with the Disrepair

provision and maintain the level of reserves, before increasing reserves to the required £20m in 2028-29 and 2029-30. Following on from the recovery plan, an HRA Business Plan will be developed to provide the resources for the longer term HRA investment to meet Decent Homes and carbon reduction targets.

Council Tax and National Non-Domestic Rates (NNDR) Collection

4.8 The Council Tax collection target rate remains the same as in 2025-26 with an in-year target for 2026-27 of 92.95%. As at the end of December the total collectable Council Tax for 2025-26 is £232.4m, of which £184.7m (79.5%) has been collected. This compares to a net collectable debt of £208.7m and £161.7m collected as at 31 December 2025. We continue to expect to collect 96.5% of the collectable debt over time. The Council tax in-year collection rate has been showing steady improvement since the pandemic. The overall collection rate target including aged debt for 2025-26 is £220.6m, as at 31 December 2025 overall collection is £189.6m (85.9%) in line with target.

4.9 The collection rate at the end of December 2025 for those residents in receipt of Council Tax Support (CTS) and paying some Council Tax is 60.43% which is a decrease of 0.83% to the position at the same time last year of 61.26%. The overall CTS awarded in 2025-26 is £29.2m, a decrease of £0.4m compared with the amount awarded at the same time in 2024-25, as a combination of the change in the CTS scheme from 1 April 2025 and increase in council tax rates.

4.10 For Business Rates or National Non-Domestic Rates (NNDR), cash collected as at 31 December 2025 was £171.3m against the net collectable debit of £196.1m, compared to cash collected of £150.9m as at 31 December 2024, from net collectable debit of £180.9m. Different reliefs were in place for each of the years, causing the variance between net collectible debt.

5. CAPITAL INVESTMENT AND FINANCING

5.1 The Council is required to prepare a Capital Strategy on an annual basis in line with best practice and statutory guidance. The Capital Strategy is key to supporting the long-term investment decisions made by the Council and enabling the delivery of the Council's ambitions. The Strategy is supplemented by the Capital Programme which sets out the specific areas of investment.

5.2 In recognition of the Council's financial position and in response to the Statutory Recommendations raised by the external auditors in February 2025 the Capital Strategy and Capital Programme have seen a fundamental reset during the 2025-26 financial year. The Capital Strategy is a core strategy document for the organisation and will be developed further in the coming months.

Capital Strategy 2026-27 to 2035-36

5.3 The Capital Strategy supports the long-term investment decisions made by the Council and enables the delivery of the Council's ambitions as set out in the Lambeth 2030 Plan. It is a key strategy document and forms part of the Council's overall financial planning approach, including revenue planning, budgeting and management, capital programme planning, management and project delivery, balance sheet and reserves oversight and planning. It provides:

- A long-term view (initially 10 years) of the council's capital ambition, its capital expenditure plans and any associated risks to which the council is exposed**.**
- An alignment between the council's operational and investment assets and its plans associated with holding or disposing of them; and
- Assurance of due regard to the long-term financing, affordability implications, potential risks and the implications for the future financial sustainability of the Council.

5.4 The Capital Strategy is set out at Appendix 9A, and the Strategic Asset Management Framework set out at Appendix 9B.

Capital Programme - 2026/27

5.5 The Capital Strategy will inform a new 10-year Capital Programme that is being developed in parallel over the coming months.

5.6 For the General Fund in 2026-27 there will be a one-year Capital Programme, to be approved in the budget. The intention is then to establish a Capital Programme to cover the 10-year period to 2035-36, to align to the same end date as the Capital Strategy.

5.7 For the HRA there will be a five-year programme covering the period up to 2029/30, to be approved as part of the budget. During the 2026-27 financial year work will be undertaken on the HRA Recovery Plan which will include an update to the HRA 30-year Business Plan.

5.8 The General Fund Capital Programme for 2026/27 and HRA Capital Programme 2026/27 to 2029/30 is summarised in the tables below; with further detail set out in Appendix 8:

Table 10 Capital Programme

General Fund Capital Programme 2026/27 and indicative funding

	Number of projects	2026/27 £M
General Fund	118	64.641
Schools High Needs / new investment	6	9.823
General Fund Total	**124**	**74.475**

Indicative General Fund Funding	**2026/27 £M**
Grants	31.625
S106 / CIL	3.747
Borrowing	39.103
Funding Total	**74.475**

Housing Revenue Account (HRA) Capital Programme and indicative funding

	Number of projects	2026/27 £M
HRA	60	64.355

Indicative Housing Revenue Account Funding	**2026/27 £M**
Grants	3.000
HRA Resources (Major Repairs Reserve, s20 receipts from leaseholders, Receipts)	45.500
Borrowing	15.855
Funding Total	**64.355**

	2026/27 £m	2027/28 £m	2028/29 £m	2029/30 £m	Total £m
HRA	64.355	46.366	51.873	50.424	213.018

Treasury Management Strategy and Minimum Revenue Provision (MRP) Policy

5.9 Treasury Management is inextricably linked to the Council's finances in general and the capital programme in particular. Appendix 9 sets out the proposed Treasury Management strategy, which has been updated by reference to the Chartered Institute of Public Finance and Accountancy (CIPFA) Code of Practice for Treasury Management and Prudential Borrowing and to reflect the council's updated Capital Strategy and Capital Programme.

5.10 Where capital expenditure has been funded by borrowing, the council is required to charge an amount to the revenue account each year in order to pay off the debts over the long term. The minimum amount is known as the Minimum Revenue Provision (MRP) policy which is also set out in Appendix 10. A key addition to the MRP Policy relates to the requirement to ensure a provision has been made to repay EFS where it is funded from temporary borrowing ahead of capital receipts being realised.

6. FINANCE

6.1 This whole report concerns the Council's financial position.

7. LEGAL AND DEMOCRACY

7.1 The Council has a duty to maintain a balanced budget throughout the year and, accordingly, members are required to regularly monitor the Council's financial position in accordance with section 28 of the Local Government Act 2003. In considering the Council's financial strategy and the budget for 2026-27, members will need to balance the proposed level of expenditure in discretionary areas of service provision against that required to ensure that the Council complies with its statutory duties.

7.2 By virtue of section 25, Local Government Act 2003, when the Council is making the calculation of its budget requirement, it must have regard to the statement of the Corporate Director of Resources, as to the robustness of the estimates made for the purposes of the calculations and the adequacy of the proposed financial reserves. The statement of the Corporate Director of Resources is presented as an appendix to this budget report (Appendix 12).

7.3 It is essential, as a matter of prudence that the financial position continues to be closely monitored. Members must satisfy themselves that sufficient mechanisms are in place to ensure both that savings are delivered, and that new expenditure is contained within the available resources. Accordingly, any proposals put forward must identify the realistic measures and mechanisms to produce those savings.

7.4 In reaching decisions on these matters, members are bound by the general principles of administrative law. Lawful discretions must not be abused or fettered, and all relevant considerations must be taken into account. No irrelevant considerations may be taken into account, and any decision made must not be such that no reasonable authority, properly directing itself, could have

reached. Members must also balance the interests of service users against those who contribute to the Council's finances. Monies may not be expended thriftlessly and the full resources available to the Council must be deployed to their best advantage. Members must always also act prudently and in a business-like manner.

7.5 In considering the advice of officers, and the weight to be attached to that advice, members should have regard to the personal duties placed upon the Corporate Director of Resources as Chief Finance Officer. The Chief Finance Officer is required by Section 151 of the Local Government Act 1972 and by the Accounts and Audit Regulations 2015 to ensure that the Council's budgeting, financial management, and accounting practices meet relevant statutory and professional requirements. In the event that the Council's overall financial position worsens considerably during the course of 2026-27, the Corporate Director of Resources will need to have regard to the statutory obligations which are placed on her personally when deciding on any particular actions to be recommended to members to address her concerns.

7.6 Section 106 of the Local Government Finance Act 1992 applies at any time to a Member of a local authority or a Member of a committee or sub-committee of a local authority if, at that time, a sum in respect of community charge, or a sum in respect of Council Tax has become payable by the member and has remained unpaid for at least two months.

7.7 If a Member to whom Section 106 applies is present at a meeting of the authority, the Cabinet, or a committee or sub-committee of the authority or the Cabinet, at which any of the following matters is the subject of consideration:

- any calculation required by Chapters III, IV or IVA of the 1992 Act i.e., budget requirement, tax base and tax, or
- any recommendation, resolution or other decision which might affect the making of any such calculation, or
- the exercise of any functions in relation to the administration, collection and enforcement of community charge or Council Tax

The Member shall as soon as practicable after its commencement disclose the fact that this section applies to her/him and shall not vote on any question with respect to that matter.

7.8 If or to the extent that any matter listed above is the responsibility of the Cabinet, no member of the Cabinet to whom Section 106 applies shall take any action or discharge any function with respect to that matter.

7.9 If a Member fails to comply with the requirement to disclose the fact that Section 106 applies and accordingly not to vote, then they shall be liable to prosecution by the Director of Public Prosecutions which carries a fine not exceeding level 3 on the standard scale.

7.10 In certain circumstances the chair of the meeting may be under an obligation to refuse to count the vote of a Member who has declared that Section 106 applies to him/her yet still voted. However, the chair would have to be fully satisfied that the declaration was beyond question. In relation to the non-payment of community charge or Council Tax the person most likely to have the best information as to whether the section applies to them is the individual concerned. If a Member declares an interest in terms of Section 106, as is their duty if the Section applies, they will disqualify themselves from voting and any attempted vote cannot be counted.

7.11 In the event of a Member failing to disclose such an interest, and even though the Chair may have good grounds for believing that the Member is disabled by interest, nevertheless the chair should not refuse to accept a vote by that Member. However, the Corporate Director of Resources will also be in a position to verify whether any particular Member is under a Section 106 duty and if a situation

arises whereby the Member in question fails to declare an interest in terms of Section 106, the Chair is under an obligation to take account of the information provided by the Corporate Director of Resources.

7.12 Prior to any meeting at which any of the matters referred above are to be considered, the Corporate Director of Resources, or her representative, will contact all Members who are, in her opinion, in a position where Section 106 applies. The Corporate Director of Resources will carry out a further check on the position prior to the meeting and will ensure that the Chair is informed at or before the commencement of the meeting.

7.13 Once the Chair is in possession of that information the Chair should indicate to the meeting that Section 106 applied to a Member or Members present, based on information provided by the Corporate Director of Resources. It will then be for the individual Members concerned to approach officers from the Finance Department to clarify the position, if necessary. If the position as set out in the information provided by the Finance Department remains unchanged, then the Chair is under an obligation to refuse to count the vote of that Member. The fact that a Member who is disabled by interest has taken part in the consideration of the report and voted on it does not render unlawful the decision of the Committee or Council.

7.14 The Budget and Policy Framework Procedure Rules, as reproduced in Part II, D of the Council's Constitution, set out the involvement of the Overview and Scrutiny Committee in the budget-making process and provide, inter alia, that having considered the report of the Overview and Scrutiny Committee, the Cabinet, if it considers it appropriate, may amend their proposals before submitting them to the full Council for consideration. The Cabinet is also required to report to Council on how it has taken into account any recommendations from the Overview and Scrutiny Committee.

7.15 Section 149 of the Equality Act 2010 sets out the public sector equality duty, i.e., that all public bodies are under an obligation to have 'due regard' to eliminating unlawful discrimination, advancing equality and fostering good relations in the contexts of age, disability, gender reassignment, pregnancy, and maternity, marriage and civil partnership, race, religion or belief, sex and sexual orientation.

7.16 Although not covered in law, the Council has committed to also consider socio-economic issues, health, language, and care experienced as additional equality strands.

7.17 Section 149 (1)(b) of the Act states that: a public authority must, in the exercise of its functions, have due regard to the need to advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it. Part of the duty to have "due regard" where there is disproportionate impact will be to take steps to mitigate the impact and the Council must demonstrate that this has been done, and/or justify the decision, on the basis that it is a proportionate means of achieving a legitimate aim. Accordingly, there is an expectation that a decision maker will explore other means which have less of a disproportionate impact.

7.18 The Equality Duty must be complied with before and at the time that a particular policy is under consideration or decision is taken – that is, in the development of policy options, and in making a final decision. A public body cannot satisfy the Equality Duty by justifying a decision after it has been taken.

7.19 The following principles of consultation apply. First, a consultation has to be at a time when proposals are still at a formative stage. Second, the proposer has to give sufficient reasons for any proposal to permit an intelligent consideration and response. Third, adequate time has to be given for consideration and response, and finally, the product of consultation has to be conscientiously taken

into account in finalising any statutory proposals. The process of consultation has to be effective and looked at as a whole for it to be fair.

7.20 Further guidance on meaningful consultation was given in the decision of the Supreme Court in the case of R (on the application of Moseley v London Borough of Haringey [2014] UKSC 56. Where there is a duty to consult imposed by statute, then in addition to a common law duty, there is an additional duty to ensure proper public participation in the local authority's decision-making process. Meaningful participation in these circumstances required that those consulted be provided with an outline of any realistic alternatives. In the absence of a specific statutory provision, reference to alternative options will be required where this is necessary in order for the consultees to express meaningful views on the proposals. The decision in the case of R (Robson) v Salford City Council [2015] EWCA Civ 6 clarified that the requirements for a lawful consultation vary according to the particular circumstances of the proposal under consideration but the general principals of fairness must be applied.

7.21 Section 1 of the Localism Act 2011 provides the Council with what is known as a general power of competence, in short, a power to do anything that individuals generally may do, for the benefit or otherwise of the authority, its area or persons' resident or present in its area and subject to restrictions/limitations imposed by other statutes. The general power of competence includes a power to charge for services provided the requirements of section 3 of the Localism Act are observed, namely: 1) that the service provided is discretionary; 2) that the user agrees to the service being provided; and 3) that there is no other power to charge for the service in question, including that contained at section 93 of the Local Government Act 2003. The exercise of this power is subject to a duty to secure that, taking one financial year with another, the income from charges does not exceed the costs of the service provided.

7.22 This proposed key decision was entered in the Forward Plan on 8 December 2025 and the necessary 28 clear days' notice has been given. The report will be published for five clear days before the decision is considered by Cabinet (Constitution, Part 7, Chapter A). Should it be approved, and following the publication of the Cabinet minutes, a further period of five clear days, the call-in period, must then elapse before the decision can be implemented. If the decision is called-in during this period, it cannot be enacted until the call-in has been considered and resolved.

8. CONSULTATION AND CO-PRODUCTION

8.1 As reported to Cabinet on 2 February, the council carried out its largest ever budget engagement exercise during September and October to hear the views of local people and community organisations about how the council should deal with its budget challenge. Over 5,000 residents, community organisations and businesses responded, providing a range of suggestions for how the council should save money, raise income, and prioritise spending. These suggestions were considered as part of the budget setting process and reflected throughout the budget and MTFS. A separate consultation was undertaken in relation to the Council Tax Support scheme which is referenced at paragraph 2.17.

8.2 This report has been produced with contributions from across the council. Where proposals involve changes in service provision or fees and charges, we aim to communicate and work with residents and other stakeholders to ensure we make best use of the resources we have to achieve the goals set out in the Borough Plan.

8.3 The Overview and Scrutiny Committee discussed the saving proposals at its meetings in November and February. Where the committee's recommendation related directly to budget setting for 2026-27, their comments have been incorporated in the main text of this report.

9. RISK MANAGEMENT

9.1 The key risks covered in section 3 of the report and those arising from the proposals set out in the plan will be monitored and reviewed corporately as well as at departmental and divisional level to ensure that the proposals are achieved. Management of the key risks will allow for effective decisions to be taken across the department. In summary the key risks can be categorised as:

- Financial – failure to contain demand and costs within the overall resources available. Control action includes management actions, savings delivery tracking, monthly budget and activity monitoring; and
- Performance Management – proposals may impact on the ability to meet key performance measures, which could affect the Council's ability to achieve its priorities and outcomes as set out in the corporate plan. Control action includes monthly performance monitoring to enable the organisation to take prompt remedial action.

9.2 The risks identified in respect of the saving proposals and the associated risk mitigations have been developed and reviewed as part of the decision in bringing the savings forward and will be monitored throughout the saving delivery programme. Savings delivery plans will be produced and monitored as part of the formal budget monitoring and reporting to Cabinet.

10. EQUALITIES IMPACT ASSESSMENT

Our legal duties

10.1 Under the Public Sector Equality Duty of Equality Act 2010, decision makers must evidence consideration of any potential impacts of their proposals on people who share the protected characteristics, before decisions are taken. This includes any decisions relating to how authorities act as employers; how they develop, evaluate and review policies; how they design, deliver, and evaluate services, and also how they commission and procure services from others.

10.2 Section 149 of the Act requires public bodies to have due regard to the need to:

- eliminate unlawful discrimination, harassment, victimisation and any other conduct prohibited by the Act.
- advance equality of opportunity between people who share a protected characteristic and people who do not share it; and
- foster good relations between people who share a protected characteristic and people who do not share it.

Protected characteristics defined by law include race and ethnicity, disability, sex, gender reassignment, age, sexual orientation, pregnancy and maternity, and religion or belief. Having due regard means that we are required to consciously think about the three tenets of the Equality Duty within our decision-making processes. By law, our assessments must contain sufficient information to enable a public authority to show it has paid 'due regard' to the equalities duties and identified methods for mitigating or avoiding any adverse impact on people sharing protected characteristics.

Our Organisational Approach to Equalities

10.3 The borough plan, Lambeth 2030, Our Future, Our Lambeth clearly states, 'By 2030, Lambeth will be a fair and equitable borough, which seeks and delivers justice in all we do'.

10.4 As a public sector organisation, we have a legal duty (under the Equality Act 2010) to show that we have identified and considered the impact and potential impact of our activities on all people with

'protected characteristics' (age, disability, gender reassignment, pregnancy and maternity, race, religion or belief, sex, sexual orientation, and marriage and civil partnership).

10.5 Additionally, informed by local evidence, the council also assesses the impact and potential impact on specific groups of disadvantaged residents as if they were protected characteristics, through considering their social and economic classification (SEC), health status, their speaking English as an Additional Language (EAL) and care experience.

Budget Equality Analysis Approach

10.6 As a minimum, initial equalities analyses have been undertaken of all the savings proposals at this stage based on information currently available. Full Equality Impact Assessments have and will be undertaken for those where potential adverse (high or medium negative) impact has been identified. Several of these have already been completed.

10.7 By law, our assessments must contain sufficient information to enable a public authority to show it has paid 'due regard' to the equalities duties and identified methods for mitigating or avoiding any adverse impact on people sharing protected characteristics.

10.8 Equality Impact Assessment is an ongoing process and, where necessary, further assessment will be undertaken of proposals as part of the Council's decision-making processes and appropriate changes will be made accordingly.

10.9 The aim of this approach is to identify proposals that may have a significant negative impact on any protected group early so that these can be taken into account by the council when taking a final decision on the budget.

Where possible, mitigating actions against adverse impacts have been and will continue to be identified. Where possible, individual assessments were informed by service user and resident data pertaining to all groups with protected characteristics.

Our Analysis

10.10 Overall, this set of budget proposals are likely to result, on balance, in a neutral impact on groups with protected characteristics, under the Equality Act 2010. Where negative impacts have been identified, mitigating measures have also been or will be developed. For most proposals assessed as negative, sufficient mitigations were considered to reduce that negative impact.

Out of 78 savings and income generation proposals totalling £47.422m:
24 were assessed to have a negative impact
32 were assessed to have a neutral impact
13 were assessed to have a positive impact
9 were not assessed (as they did not impact on groups with protected characteristics)

10.11 As proposals are progressed further, assessments will be built upon, re-assessed where appropriate and further mitigating measures identified to reduce negative impacts on any groups with protected characteristics will be added. If necessary, they will be reconsidered by the Equity and Justice Member Panel.

10.12 It is important to re-iterate that the approach for assessing the equalities impact of savings proposals is an on-going process. Savings proposals that require future formal decisions and/or consultation as part of their implementation will be subject to the usual decision-making processes which include equalities impact assessments.

Equity and Justice Member Panel

10.13 Potential savings and income generation proposals of £28.269m, £18.643m and £500k were first considered by the Equity and Justice member Panel prior to the 24 November 2025 Cabinet,2 February 2026 Cabinet and 23 February Cabinet respectively. Panel members also considered equalities considerations relating to staffing changes, Council Tax and the Council Tax Support Scheme.

10.14 The Panel advice emphasised ensuring mitigations considered how to best communicate the changes to residents, particularly, those with English as a secondary language and support remains accessible and inclusive, including to those who do not have strong digital skills.

11. COMMUNITY SAFETY

11.1 None for the purpose of this report, although the impact of proposals on community safety was considered as part of the budget process.

12. CHILD FRIENDLY LAMBETH

12.1 None for the purpose of this report, although the impact of proposals on Lambeth's children and young people was considered as part of the budget process.

13. ORGANISATIONAL IMPLICATIONS

Environmental

13.1 None for the purpose of this report, although the impact of proposals on environmental considerations was considered as part of the budget process.

Health

13.2 None for the purpose of this report, although the impact of proposals on health was considered as part of the budget process.

Staffing and accommodation

13.3 There are implications for staffing and accommodation in some of the individual savings proposals.

Responsible Procurement

13.4 Individual savings proposals may involve procurement and will be undertaken in line with the Council's Contract Standing Orders and Financial Regulations.

Good Quality Jobs with Fair Pay and Decent Working Conditions

13.5 None for the purpose of this report, although the impact of proposals on this priority was considered as part of the budget process.

Quality Apprenticeships, targeted Employment for Lambeth residents and Lambeth Priority Group

13.6 None for the purpose of this report, although the impact of proposals on this priority was considered as part of the budget process.

Reduce Emissions: Lambeth Council has a commitment to being Zero Carbon by 2030

13.7 None for the purpose of this report, although the impact of proposals on this priority was considered as part of the budget process.

Single Use Plastics

13.8 None for the purpose of this report, although the impact of proposals on this priority was considered as part of the budget process.

Positive Health and Wellbeing

13.9 None for the purpose of this report, although the impact of proposals on this priority was considered as part of the budget process.

14. TIMETABLE FOR IMPLEMENTATION

ACTIVITY	Proposed Date
Date published on Forward Plan	08-12-2025
Publication on Decisions online	13-02-2026
Officer or Cabinet Member Decision	23-02-2026
End of Call-in Period (key decisions only)	06-03-2026
Execution of Contract	N/A
Mobilisation Period for Contract	N/A
Commencement of Contract	N/A

AUDIT TRAIL

Name and Position/Title	Lambeth Directorate	Date Sent	Date Received	Comments in paragraph:
Councillor Claire Holland	Leader of the Council	11.02.2026	13.02.2026	Throughout
Ian Davis	Chief Executive	11.02.2026	13.02.2026	Throughout
Councillor Judith Cavanagh	Acting Cabinet Member for Finance	11.02.2026	13.02.2026	Throughout
Zena Cooke, Corporate Director of Resources and S151 Officer	Resources	26.01.2026	11.02.2026	Throughout
Andrew Carter Corporate Director	Children, Families and Education	11.02.2026	13.02.2026	
Andrew Eyres Corporate Director	Integrated Health and Adult Social Care	11.02.2026	13.02.2026	
Nabeel Khan Corporate Director	Growth and Environment	11.02.2026	13.02.2026	
Jackie Moylan Interim Director of Finance and Deputy S151 Officer	Resources	22.01.2026	22.01.2026	Throughout
Andrew Pavlou, Principal Lawyer (Governance)	Resources	02.02.2026	03.02.2026	7
Mary Bosah Democratic Services	Resources	02.02.2026	04.02.2026	Throughout

REPORT HISTORY

Original discussion with Cabinet Member	December 2025
Report deadline	18-02-2026
Date final report sent	24-02-2026
Part II Exempt from Disclosure/confidential accompanying report?	No
Key decision report	Yes
Date first appeared on forward plan	08-12-2025
Key decision reasons	1. Will amend Community Plan Outcomes Framework or Budget and Policy Framework.
Background information	Agenda for Cabinet on Monday 28 July 2025, 5.00 pm | Lambeth Council Agenda for Cabinet on Monday 24 November 2025, 5.00 pm | Lambeth Council Agenda for Cabinet on Monday 2 February 2026, 5.00 pm | Lambeth Council Borough Plan – Lambeth 2030: Our Borough, Our Lambeth Autumn Budget 2025 Provisional Local Government Finance Settlement 2026-27 to 2028-29

	Final Local Government Finance Settlement 2026-27 to 2028-29 OBR November 2025 economic and fiscal outlook Local Government Act 2003 Local Government Act 1972 Accounts and Audit Regulations 2015 Local Government Finance Act 1992 Equality Act 2010 Localism Act 2011
Appendices	**Appendix 1** - Medium Term Financial Strategy (MTFS) 2026-2030 **Appendix 2** - Simplified Council Tax Model and Statutory Calculations 2026-27 **Appendix 3** - Council Tax Reduction Scheme 2026-27 **Appendix 3A** – Council Tax Support (CTS) end of consultation report February 2026 **Appendix 3B** – Equality Impact Assessment (EIA) V.10 approved **Appendix 4** – Savings 26-27 **Appendix 5** – Fees and Charges Policy 2026-27 **Appendix 5a** - Fees and Charges 26-27 **Appendix 6** – HRA Budget 2026-27 **Appendix 7** – Dedicated Schools Grant (DSG) Budget Setting 2026-27 **Appendix 8** - Capital Investment Programme (CIP)– 2026-27 to 2035-36 **Appendix 9** - Treasury Management Strategy 2026-27 – 2028-29 **Appendix 9A** - Capital Strategy 2026-27 – 2035-36 **Appendix 9B** – Strategic Asset Management Framework **Appendix 10** - Minimum Revenue Provision Policy 2026-27 – 2029-30 **Appendix 11** – Reserves Strategy 2026-27 – 2028-29 **Appendix 12** – s25 Statement 2026-27 – 2028-29 **Appendix 13** – Flexible Use of Capital Receipts 2026-27 – 2028-29 **Appendix 14** – Gross Expenditure and Income budget by Directorate and Division 2026-27